Earnings update

Galp Q3 2026: guidance raised, deal off, the sell-off goes too far

26 October 2026 · Syz Research

> **"While discussions with Moeve regarding a potential combination of our downstream businesses have concluded without an agreement, Galp's strategic direction and investment proposition remain unchanged."**
>
> Maria João Carioca and João Marques da Silva, co-CEOs, Q3 2026 results release, 26 October 2026

Key takeaways

Deal The Moeve downstream merger ended after ten months of talks, removing c.EUR 1.1 per share of synergies.

Beat Q3 RCA EBITDA of EUR 1,522m rose 67%, 3.5% above consensus, on Bacalhau and refining.

Raised Full-year EBITDA guidance lifted to c.EUR 5bn from c.EUR 4bn, operating cash flow to c.EUR 3.9bn.

Valuation The 8.8% fall, nearly twice the synergy value, leaves 8.4x forward earnings, 27% below average.

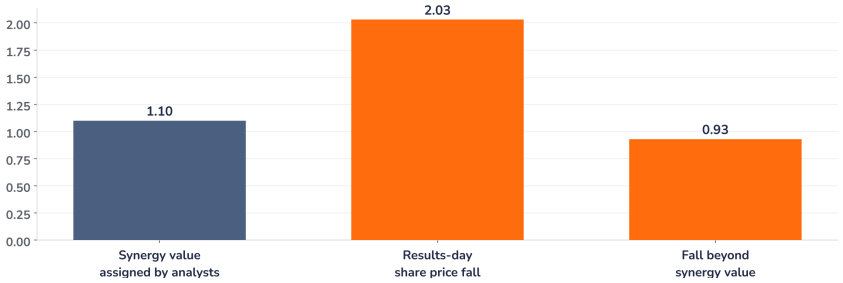
Lost synergies per share	Results-day share move	RCA EBITDA	FY26 EBITDA guide
c.EUR 1.1	**–8.8%**	**EUR 1,522m**	**c.EUR 5.0bn**
EUR 750 to 800m in total	–EUR 2.03 per share	+3.5% vs. consensus	+25% vs. prior guide

The deal, not the quarter, drove the stock

The quarter was good: RCA (replacement cost adjusted) EBITDA beat consensus by 3.5% and full-year guidance rose 25%. The share price followed the deal: on results day Galp confirmed that ten months of talks to merge its Iberian refining and retail businesses with Moeve (formerly Cepsa) had ended without agreement. The shares fell 8.8%, about EUR 2.0 per share, close to twice the c.EUR 1.1 of synergy value analysts had assigned. The market is pricing a lost strategic option.

Chart 1 · GALP: results-day share price fall vs. lost synergy value

EUR per share · synergies: analyst estimates of EUR 750 to 800m · share price fall: 23 October close to the 26 October results-day print



The shares lost EUR 2.03 on results day, almost twice the c.EUR 1.1 of synergies analysts had assigned to the deal. We read the extra EUR 0.9 as the lost option to shrink Galp's refining exposure: Galp would have kept only 20% of the combined refineries, moving it closer to an upstream growth story.

Base case and implications

We stay positive on Galp. The sell-off prices the failed merger as a permanent loss of value, too harshly in our view: the synergies were worth about EUR 1.1 per share, the shares lost EUR 2.0, and Galp keeps a standalone downstream that earned EUR 639m of EBITDA in Q3. We underwrite the new c.EUR 5bn EBITDA and c.EUR 3.9bn cash flow guidance, with a proposed 10% dividend rise to EUR 0.70 and the EUR 250m buyback. Management still backs consolidation; the next test is whether it sets out another route for downstream at full-year results.

What would strengthen our view

A new route for downstream at full-year results, such as a Sines partner or a smaller retail deal; Moeve or another party returns on revised terms; Q4 EBITDA beats the c.EUR 1.26bn implied by guidance; a larger 2027 buyback.

What would change our view

Galp turns buyer and raises its refining exposure through a large acquisition; refining margins fall back towards the USD 13 per barrel of the original guidance, cutting the value of the standalone business; Brazil makes its temporary oil export tax permanent.

Beyond the key takeaways

Results: Bacalhau and refining did the work

RCA EBITDA rose 67% to EUR 1,522m. Upstream gained 53% to EUR 708m as the Bacalhau FPSO lifted working-interest production 14% to 131 kboe/d. Industrial & Midstream doubled to EUR 639m: the refining margin reached USD 34.0/boe against USD 9.5/boe a year ago, on diesel cracks of USD 590/t, despite EUR 172m of hedge losses and EUR 125m of pricing-formula lags. Commercial rose 24% to EUR 147m and Renewables tripled to EUR 48m. RCA net income rose 68% to EUR 682m, about EUR 0.94 per share on our count, and operating cash flow of EUR 1,223m (+63%) left net debt at EUR 1.43bn.

Management raised 2026 RCA EBITDA guidance to c.EUR 5bn from c.EUR 4bn and operating cash flow to c.EUR 3.9bn from c.EUR 3bn, on Brent at USD 90/bbl (from 80) and a realised refining margin of c.USD 25/boe (from 13). The guide implies Q4 EBITDA of about EUR 1.26bn and, on our arithmetic, a Q4 Brent near USD 78/bbl against USD 97 in Q3, so oil leaves room for a beat. The Sines hydrocracker turnaround that began in late September is the main Q4 swing factor.

The deal: a valuation gap at peak margins

Announced in January, the plan would have created two Iberian platforms: a 50/50 RetailCo with about 3,500 service stations, and an IndustrialCo holding the Huelva, Cádiz and Sines refineries, 80% owned by Moeve and 20% by Galp. With refining margins high but volatile, the sides could not agree what the refineries were worth, and Q3's EUR 639m of Industrial EBITDA shows why Galp would not sell at a discount. Handing Sines, Portugal's only refinery, to a platform controlled by Mubadala and Carlyle also raised energy-security concerns, and press reports say the Amorim family, Galp's largest shareholder, rejected some of Moeve's demands.

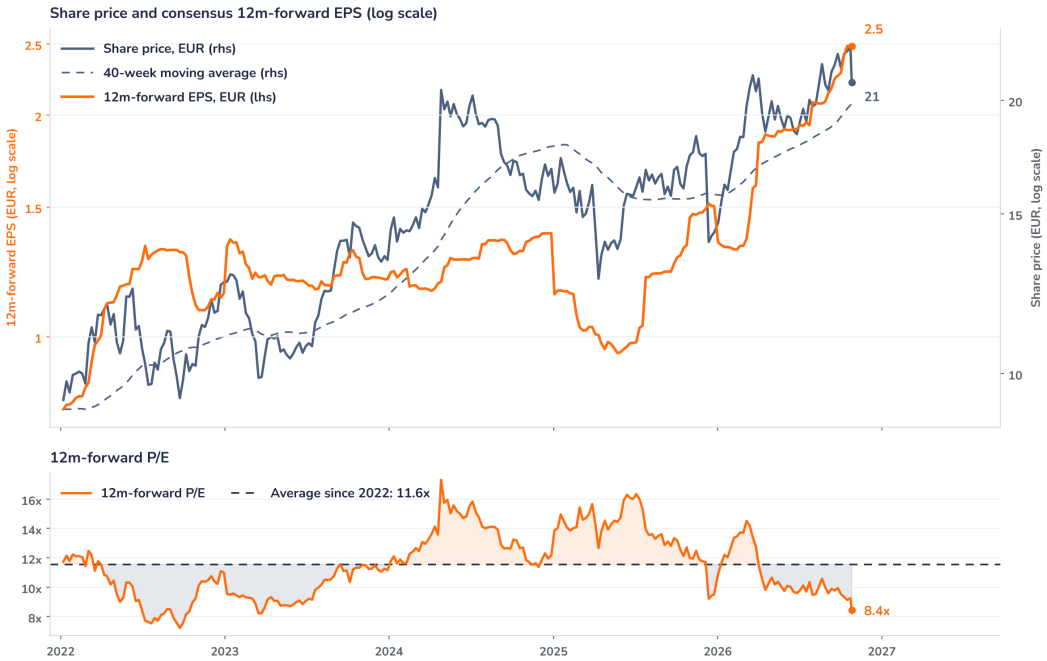
Brazil: the election adds a risk premium

Brazil's October general election added a smaller headwind to Galp's earnings engine. To curb fuel prices, the Lula administration introduced a temporary 12% tax on crude exports, which costs Galp up to EUR 100m and helped lift RCA taxes 79% to EUR 493m in Q3. The polarised run-off between President Lula and Flávio Bolsonaro widened Brazil's sovereign risk premium. We see a discount to monitor, not a change in the case, until the tax lapses.

Valuation: earnings ran ahead of the price

Chart 2 · GALP: share price vs. consensus earnings and valuation

GALP PL Equity, weekly from January 2022 (the 2020 earnings collapse lifted the P/E above 130x) · BEst 12m-forward consensus · 200-day (c. 40-week) simple MA · log scale · P/E shaded vs. its 2022 to 2026 average · last price is the 26 October results-day print; consensus EPS not yet revised



Earnings have run well ahead of the share price. Over 12 months, consensus 12m-forward EPS rose 87% to EUR 2.48 while the price gained 24%, so the forward P/E fell from 12.7x to 8.4x, 27% below its 11.6x average since 2022; results day alone took it down from 9.2x. Removing the full EUR 1.1 of synergy value from the pre-results EUR 22.96 would leave EUR 21.86, or 8.8x: the stock now trades below that, though still 6% above its 40-week average.

SYZ Source: Syz Research, Bloomberg, company filings, Galp Q3 2026 results release of 26 October 2026, analyst research notes, press reports of October 2026

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